Role of operations management

- *strategic role of operations management- cost leadership, good/service differentiation*
    - operations refers to the business's transformation process used to convert inputs into outputs
    - the strategic role of operations is to increase productivity, efficiency, the quality of outputs and achieve lower costs to gain a competitive advantage
    - operations involves adding value, wherein the product's value increases at each stage of the transformation process
    - businesses use cost leadership and product differentiation to gain a competitive advantage
    - cost leadership is a strategy in which the business aims to be the lowest-cost supplier within their industry; this is achieved through economies of scale in production and distribution, outsourcing and using technology and cheaper raw materials
    - cost leadership allows a business to sell products at prices below those of its competitors, which maximises profit; however, consumers may perceive the product to be of low quality
    - product differentiation means distinguishing products from competitors and is a more sustainable advantage

Case Study- Supergoop

- Supergoop provides a range of products that incorporate SPF into consumer's beauty routines
- they have differentiated themselves by making their products available online for greater accessibility, which maximised profits as Supergoop were able to be more flexible in meeting consumer demand
- with this change in platform and selling mode, Supergoop had to adjust their supply chain, which is a time consuming and costly process

- *goods and/or services in different industries*
    - manufactured outputs, like goods, are tangible and can be stored before being distributed
    - standardised goods are mass produced and uniform in quality
    - customised goods are varied according to consumer needs
    - perishable goods are those that require high standards of quality, safety and have short lead times
    - non-perishable goods are those that do not have an expiry date
    - intermediate goods are those that have been completed but can be further processed
    - finished goods are those that have undergone a complete transformation process

- *interdependence with other key business functions*
    - finance: finance creates budgets and allocates funds to purchase inputs and equipment, operations uses these funds to purchase inputs and equipment

- marketing: marketing identifies consumer demand for a particular product through market research, operations manufactures a product through the transformation process
- human resources: human resources acquires and trains employees with the appropriate skills and knowledge, operations identifies staffing needs to meet objectives of the transformation process

Case Study- Qantas

- during the pandemic, Qantas implemented their COVID-19 recovery plan
- this involved the finance department implementing cost cutting strategies by tightening budgets to reduce unnecessary business spending
- the finance department was able to immediately respond as a result of being notified by marketing's findings of market research, as they identified a drop in consumer demand for international and domestic flights
- the operations department processed this information and reduced the number of flights and used smaller aircrafts
- the human resources department downsized their workforce, as thousands of jobs were no longer necessary
- Qantas is on track to reduce their expenses by $15 million before 2023 which is clearly made possible through the mutual reliance of all four departments, which increased the flexibility of the operations process
- communication is a time consuming process between all four departments and valuable information may not be fully processed when making rushed decisions

Influences

- *globalisation*, *technology*, *quality expectations*, *cost-based competition*, *government policies*, *legal regulation*, *environmental sustainability*

Globalisation

- globalisation is the breaking down of international borders to increase trade and communication
- globalisation influences location decisions and makes it possible for businesses to reduce costs by locating closer to their source of raw materials, where labour is less expensive
- globalisation allows businesses to purchase raw materials and sell products
- costs are reduced as cheaper raw materials can be purchased through the establishment of a global supply chain
- businesses also have access to a global market to sell the outputs of operations and cheaper labour to outsource the production process
- finance can easily be borrowed from foreign markets to fund operations processes

Case Study- Apple

- Apple relies on Foxconn in China to assemble their products and maintain a consistent supply of products
- during the pandemic, international closures of businesses took place, including Foxcon, which temporarily stopped the supply of Apple products

- only 40% of workers were able to resume work in the Foxcon factory in February 2020
- Apple reduced their expenses significantly by responding to the influence of globalisation by outsourcing a non-core business function to Foxconn, which has allowed Apple to reduce their operating expenses and focus on innovative products in a post-pandemic world
- the reliance of international businesses to undertake a business function is disadvantageous as there is no control over unprecedented circumstances, such as workplace closures due to the pandemic

Technology

- technology, such as CAD (computer aided design), CAM (computer aided manufacturing) and robotics, refers to the use of advanced equipment and scientific knowledge in the operations process
- technology results in the development of new production methods that are efficient and cost effective
- better quality outputs are produced due to improved processes that reduce time, human error and waste
- robotics refer to programmable machines that have sensors that detect changes in their environment
- robotics increase efficiency as they work without breaks and perform tasks more accurately
- CAD is a computer technology that can adjust three dimensional designs, allowing for greater product innovation
- CAM is a software that can be set to control large sections of production with greater efficiency and fewer errors

Case Study- Myer

- Myer experienced a 37% decrease in profits due to the pandemic
- however, their online sales recorded an increase of 25%, which has prompted Myer to invest $15 million to update their e-commerce platform
- these funds have been used to increase their product range that can be purchased online, thus enabling a greater online consumer experience
- technology has evidently fast-tracked the restructuring of Myer's operations processes and allowed them to overcome restrictions by maintaining flexibility, improving operational efficiency and meeting the changing needs of consumers
- it is clear that Myer's investment of $15 million has increased their expenses in the short term

Quality expectations

- quality expectations refers to the consumer's pre-existing idea of a product's quality
- quality expectations involves durability, reliability and fit for purpose
- durability refers to how long the product lasts given a reasonable amount of use
- reliability refers to how long the product functions without the need of repairs or maintenance
- fit for purpose refers to how well the product matches advertising claims

- and so, operations must produce a product with features, design and quality that meets consumer expectations

Case Study- KFC

- KFC meat suppliers in Victoria experienced an outbreak of COVID-19 which disrupted their usual manner of supply
- as a result, several stores around Melbourne faced shorter operating hours and some temporarily closed
- this impacted quality expectations, as KFC did not compromise on the quality of their produce and avoided putting consumers and workers at risk
- KFC's service quality expectation was hindered as they reduced usual operating hours
- in doing so, some consumers will become frustrated with the shorter hours and lack of open stores, resulting in a decline in the quality of service offered as KFC are not meeting the demand of their customers

Cost-based competition

- cost-based competition involves gaining a price advantage over competitors by using low cost operational strategies
- this can be done by eliminating waste, standardising products to take advantage of economies of scale, outsourcing and using cheaper inputs and technology

Government policies

- government policies are methods used by the government that encourage the operations of a business to be more competitive and innovative
- the government provides monetary benefits, such as financial grants and tax concessions, which benefits the operations process by encouraging innovation through research and development

Legal regulation

- it is the legal responsibility of the operations manager to be aware of laws surrounding trade practices and environmental protection
- the regulatory requirements of several laws become compliance costs for businesses
- the Work Health and Safety Act 2011 (Cth) provides that employers prepare an occupational health and safety assessment, where the work environment, materials and machines are safe for employees

Environmental sustainability

- environmental sustainability refers to the development and use of production methods that allow resources to be used by producers without limiting the ability of future generations to satisfy their needs and wants
- the operations manager has a responsibility to protect the environment and ensure that their production methods are sustainable
- the impact of resource depletion, the site of resource removal, pollution caused by machinery and the removal and storage of waste must be considered when making operations decisions

- *corporate social responsibility*
  - *the difference between legal compliance and ethical responsibility*
  - *environmental sustainability and social responsibility*

- corporate social responsibility is the duty of care a business has towards it stakeholders other than shareholders
- it occurs when businesses go above and beyond legal requirements by contributing to the community and giving back to society
- by supplying goods in a socially acceptable manner, businesses can fulfil customer expectations of being a responsible business

- *the difference between legal compliance and ethical responsibility*
  - legal compliance refers to the process in which the business ensures it complies with external statutory laws and regulations
  - ethical responsibility involves making decisions that aren't legally compliant but are morally correct and meet the standard of behaviour that society expects
  - in order to demonstrate a commitment to ethical behaviour, businesses implement a code of conduct, which is not legally enforceable but the voluntary set of rules guide business behaviour

- *environmental sustainability and social responsibility*
  - social responsibility involves taking actions that are morally and ethically consistent with community interests
  - by pursuing environmentally sustainable goals, businesses contribute to a better quality of life for society

Case Study- Bunnings Warehouse

- as Melbourne experienced their second wave of COVID-19, strict isolation measures were implemented
- Bunnings Warehouse demonstrated corporate social responsibility by providing financial support to their workers
- full time and causal employees working at least 12 hours per week continued to be paid their usual wages during lockdown
- regardless of whether work was available, Bunnings Warehouse made a promise to not neglect employees by providing them with ongoing financial support and increasing safety measures within their warehouse by providing face masks
- by dealing with employees in a socially responsible manner, Bunnings ensured that their operations processes continued to function despite the pandemic
- Bunnings has effectively demonstrated that they will give their employees a sense of safety and assurance during volatile times though financial support and safety regulations, showing their care for all stakeholders
- increased expenses are the downside to Bunnings continuing to pay workers despite stores being physically closed

<u>Operations processes</u>

- *inputs*
  - *transformed resources (materials, information, customers)*
  - *transforming resources (human resources, facilities)*

Transformed resources

- inputs are components of a finished product; they are changed and converted into something else
- includes materials, information and customers
- materials are the raw components and supplies used
- information is the skills and knowledge of employees
- customers provide feedback and dictate demand

Transforming resources

- resources that remain in the business and are applied to the inputs to add value; resources that physically change materials and aren't used up
- includes human resources and facilities
- human resources provide physical labour and apply their skills
- facilities refers to the buildings, equipment and land used in operations

Case Study- Keytone Dairy

- due to the pandemic, consumers demand healthy supplements to boost their immunity
- Keytone Dairy introduced the product Tonic Plant, which is focused on providing a source of plant-based protein
- within two weeks, the product was made available at supermarkets, which shows Keytone Dairy's ability to gather information, as an input, and transform it into a successful product
- by staying informed about consumer demand, Keytone Dairy was able to effectively utilise the input of information and develop successful health promoting product, which increased their share price by 5%
- expanding their product range and undertaking market research is a time consuming and costly process

- *transformation processes*
  - *the influence of volume, variety, variation in demand and visibility (customer contact)*
  - *sequencing and scheduling – Gantt charts, critical path analysis*
  - *technology, task design and process layout*
  - *monitoring, control and improvement*

- the transformation process are the activities that determine how value will be added to the finished product

- *the influence of volume, variety, variation in demand and visibility (customer contact)*

  - volume refers to how much of a product is made; when volume has the strongest influence on operations, there is a large amount of capital, facilities and technology used, with less labour
  - variety refers to the number of different models offered by a business in its products; low variety operations produce a high volume of standardised products with low cost
  - an increase in variation in demand requires increase inputs from suppliers, human resources and technology
  - visibility refers to the degree to which customers can see operations in action
  - the most significant influences on the operations process is volume and variety

- *sequencing and scheduling – Gantt charts, critical path analysis*
  - sequencing and scheduling are planning tools that ensure efficiency, as they are used to identify and organise the steps of operations
  - sequencing is the order of tasks and determines the layout (critical path analysis)
  - scheduling is the time slotting of tasks, allowing the right inputs to be delivered at the right time (Gantt chart)
  - when performing sequencing and scheduling, task analysis determines how the task is completed; it is the breakdown of all steps needed to manufacture the product
  - a critical path analysis shows the tasks needed to be done, how long they take and the order necessary to complete the tasks
  - the critical path is the longest time taken to complete the whole project; it maximises efficiency, generates cost savings and allows the business to monitor cash flow
  - however, the critical path analysis has limited usefulness in large-scale operations
  - a Gantt chart allocates different tasks from the production process; it records the number of tasks involved in each project, and the time needed for each task, so that resources can be organised and the business can compare actual versus planned progress
  - Gantt charts don't show the relationship between each activity and which activities rely on other activities for materials or machinery

- *technology, task design and process layout*
  - technology refers to specialised equipment and advanced scientific knowledge, allowing for greater flexibility and efficiency; it involves the use of computer-aided design (CAD), computer-aided manufacturing (CAM) and robotics
  - CAD is a computer technology that can adjust three dimensional designs, allowing for greater product innovation
  - CAM is a software that can be set to control large sections of production with greater efficiency and fewer errors

- robotics refer to programmable machines that have sensors that detect changes in their environment
- task design breaks up activities of the production process into specific steps; a skills audit is conducted when designing a task
- a skills audit refers to process that determines the present level of skills and shortfalls that need to be made up through recruitment or training
- process layout refers to organising the business's factory or office space
- process layout ensures that the business effectively uses equipment, has a safe work environment for employees and enough physical space for the anticipated volume of production

Case Study- McDonald's

- during the pandemic, businesses have adjusted the way in which they operate to promote customer and employee safety
- during the pandemic, McDonald's restricted their service to drive-thru and pick up only
- staff were required to wear protective gear, such as masks and gloves to maintain standards of hygiene, and glass shields were put in place, making a direct impact on McDonald's task design and process layout
- more families wanted access to quick and easy meals, indicated by a 250% increase in Google searches for family meals and so McDonald's adjustment of their processes has enabled customers to access a safe a contactless experience for food
- however, providing protect equipment and safety gear is costly for McDonald's

- *monitoring, control and improvement*
    - monitoring, control and improvement relate to performance objectives of quality, speed, dependability, flexibility, customisation and speed
    - data, known as key performance indicators, must be collected about the cost of operations, the amount of waste from operations and the number of defective goods, to monitor and improve
    - monitor refers to the process of measuring actual versus planned performance
    - controlling refers to the assessment of key performance indicators against predetermined targets, and taking corrective action
    - improvement refers to the systematic reduction of inefficiencies, poor production processes and wastage; it is sought in time, quality, cost and efficiency

- *outputs*
  - *customer service*
  - *warranties*

- outputs refer to the finished result of business efforts; it is the product manufactured and provided to consumers

- customer service
  - customer service refers to how well a business meets and exceeds customer expectations in its operations
  - good customer service requires costs of labour resources and extensive training
  - businesses that provided superior customer service can charge more for the same product, grow faster than competitors and increase market share

- warranties
  - a warranty is a promise made by a business that they will correct any defects in the good or service they deliver; it is a legally binding agreement that guarantees product performance for a particular period of time
  - the Competition and Consumer Act 2010 (Cth) states the conditions and warranties that business must abide by
  - businesses must ensure their good has a level of quality in line with price and product description, is suitable for the intended purpose, matches the product description in advertising and is free from defects

Case Study- Apple

- Apple previously gave customers two months to purchase their extended warranty plan, which includes additional damage caused to the product
- since the pandemic, Apple has seen a decline the number of customers choosing to purchase extended warranty, as consumers don't have the same amount of disposable income and are seeking to reduce unnecessary spending
- as a result, Apple provided more time for customers to make a decision about purchasing an extended warranty plan, which had been extended from 2 months to 1 year
- Apple's decreased revenue from warranties due to the pandemic has been overcome by providing more time to consumers to reassess whether they should purchase it; by giving more time, consumers will be more likely to purchase the plan as they have a greater opportunity to do so, which has increased the possibility of increasing Apple's revenue streams
- however, since the plan includes accidental damage to products, Apple's expenses may increase as they will have to repair damage when a warranty claim is made

<u>Operations strategies</u>

- *performance objectives- quality, speed, dependability, flexibility, customisation, cost*

    - quality refers to the set standard of production that businesses aim to adhere to
    - objectives of quality include quality of design (how well the product is made) and quality of conformance (how well the product meets standards of the product design)
    - speed refers to how quick a process can be done to reduce lead times and wait times
    - dependability refers to the product's reliability; how long the product works to customer expectations
    - flexibility refers to the ability of operations to adapt to a new model to meet change in customer demands
    - customisation refers to the creation of individualised products to meet specific customer needs
    - cost involves minimising expenses so operations are conducted in a cheap manner

Case Study- Woodman's Markets

- Woodman's Markets have aimed to keep up with demand during increased sales during the pandemic
- keeping up with stock and ensuring all prices, labelling, locations and stock takes are done accurately and been achieved by using Badger robots
- with more than 100 000 items being sold in-store and online, the robot manufacturers Badger Technologies have dramatically reduced the time needed to conduct daily stock related operations
- robots can conduct scans of many aisles in a matter of hours, rather than several days
- the robots have achieved the objective of speed and quality, as they can identify items that are no longer in stock with a 95% precision rate and identify mislabelled stock with a 90% precision rate
- lead times have been reduced by replacing human labour with Badger robots to achieve the performance objective of speed; the robots can conduct mundane tasks, such as scanning, within a couple of hours, rather than over a number of days
- however, purchasing these robots is expensive and requires a large capital outlay

- new product or service design and development
    - designing and developing new products and services requires supply chain management of the new product line and new technology

Case Study- Keytone Dairy

- the pandemic has caused an increase in demand for health products
- as a result, Keytone Dairy has launched a new immune supporting supplement that will initially be available in Chinese markets
- the pandemic had caused Chinese demand for health-related supplements to increase by $20 billion

- Keytone Dairy has been successful in targeting customer needs in China as they have achieved over $1 million sales in the first quarter of 2020, which corresponds to a 33% rise in sales from the previous quarter
- however, developing a new product requires time, research and additional product costs

- *supply chain management- logistics, e-commerce, global sourcing*
    - the supply chain involves managing the relationship with suppliers and customers to deliver superior customer value at reduced costs
    - suppliers must provide the appropriate inputs at the best price and reliably supply the required quantity with the appropriate quality
    - logistics refers to moving inputs, resources and outputs through the supply chain in a fast manner
    - logistics involves distribution, transportation modes, material handling and storage, warehousing and distribution centres
    - e-commerce enables businesses to source through online links to suppliers; e-procurement is the use of online systems for supply management, which is enabled by a business to business arrangement, wherein the businesses have direct access to one another
    - global sourcing involves purchasing supplies where there are no location constraints and supply chains are expanded over national boundaries; supplier rationalisation is where the business reduces the number of suppliers by eliminating the least effective suppliers

Case Study- Coca-Cola

- the pandemic has driven up online sales due to restrictions, and so online shopping has increased for basic goods
- Coca-Cola has provided customers with the opportunity to purchase from the company through myCoke
- they have also invested more funds into improving their online presence worldwide
- Coca-Cola En Tu Hogar is a platform in which South American customers can order their products online and have them delivered; there are 1 million shoppers using this platform
- Coca-Cola will do the same across countries worldwide, including Australia, which will allow for greater contactless purchasing and recover their $9 million loss this year in Australia
- this is advantageous as Coca-Cola's e-commerce platform has allowed them to overcome store closures and disruptions while increasing online sales
- however, expanding their online presence is costly for Coca-Cola, as a significant portion of retained profits is being invested

- *outsourcing- advantages and disadvantages*
    - hiring another business to form non-core business activities within operations, such as transportation, supply chain management, maintenance and manufacturing

    - by outsourcing, the business saves costs through efficient methods, increases speed and quality of outputs and gain access to specialist knowledge and expertise
    - outsourcing also has disadvantages of a loss of control over quality, cost and reliability, as well as slower lead times, slower responses to changes in the market and competitors may outsource the same business which eliminates a competitive advantage

Case Study- Qantas

- Qantas has increased their outsourcing to alleviate the financial strain from the pandemic
- they have sought ways to cut costs to recover from an annual loss of $2 billion
- Qantas outsourced ground handling to further minimise expenses
- wages expenses are minimised as employees will no longer need to be paid, saving them $100 million annually
- however, negative publicity resulted when employees showed their outrage through protests as the company has prioritised expense minimisation over employee welfare

- *technology- leading edge, established*
    - when using technology, implementation costs, technology used by competitors and retraining or making staff redundant must be considered
    - technology reduces waste, time and errors and promotes quality, efficiency and speed
    - leading edge technology is used when businesses seek a competitive advantage and are the first to implement new technology
    - established technology is the type of technology that had already been tried and proven, making it reliable and dependable

Case Study- Woodman Markets

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conduct mundane tasks, such as scanning, within a couple of hours, rather than over a number of days
- however, purchasing these robots is expensive and requires a large capital outlay

- *inventory management- advantages and disadvantages of holding stock, LIFO (last-in-first-out), FIFO (first-in-first-out), JIT (just-in-time)*
    - inventory refers to the raw materials used in the production process, partially processed goods and finished products
    - holding stock is advantageous as it allows for a quick response time, reduces costs if bulk buying (which gives a cost advantage), there is no need to rely on suppliers for just-in-time deliveries and businesses can take advantage of seasonal pricing
    - holding stock can be disadvantageous as is requires more storage space (which increases costs), stock must be insured, stock can get destroyed or go missing and inventory may lose value and become obsolete
    - there are three types of inventory management; LIFO (last in, first out), FIFO (first in, first out) and JIT (just-in-time)
    - LIFO is when the most recently purchased stock is sold first (used for goods that have no use-by date)
    - FIFO is when the first stock that has been purchased is the oldest and is sold first (used for perishable goods)
    - JIT is when as little stock as possible is held, and stock is only bought from suppliers when required

	COGS	Profit	Inventory
FIFO	decreases	increases	increases
LIFO	increases	decreases	decreases

Case Study- Harley-Davidson
- Harley-Davidson needed to reduce inventory to limit the amount of discounts given on their motorcycles
- they have responded to a 27% decline in revenue by adopting the JIT inventory approach, reducing their rate of motorcycle production to align with current demand and have less leftover stock
- by reducing the amount of motorcycle in Harley-Davidson's inventory, the amount of discounts given will be reduced, allowing the business to increase the value of their brand, restore their prestigious image and save in inventory-related costs
- however, if demand was to suddenly increase, Harley-Davidson will not be able to cater for this and will miss the opportunity to secure sales

- *quality management*
  – *control*
  – *assurance*
  – *improvement*

- quality management refers to the physical inspection of outputs during operational activities to ensure consistency, reliability and adherence to quality standards of the operations plan

Quality control
- involves checking resources and products in all stages of the production process
- these controls take place at three different stages: feed-forward, concurrent and feedback controls
- feed-forward controls involves carefully planning before production begins to prevent problems from occurring
- concurrent controls are used during the manufacturing process
- feedback controls involve checking the final product after production is complete

Quality assurance
- a proactive strategy in which the business operates at a guaranteed standard; set procedures are established so that errors are less likely to occur
- quality is assured by achieving certificates for meeting quality standards from ISO (International Organisation for Standardisation)

Quality improvement
- a whole business approach that relies on continuous improvement in all functional areas, not just operations
- improvement in quality are measured using key performance indicators
- quality improvement reduces operational costs, and ensures higher sales and repeat purchases

Case Study- McDonald's
- New Zealand business ARYZTA Bakery supplies Australian McDonald's restaurants with their high-quality burger buns
- maintaining the consistency of bread products is done through several quality management steps
- while the buns are being produced, quality control is implemented, wherein a worker physically checks the appearance of the buns; any product that doesn't meet standards is disposed of, which ensures consistency in the appearance of every bun
- quality assurance is implemented through technology, specifically the Eye-pro Inspection system, which detects irregularities in the appearance, size and tone of burger buns and disposes of them
- this is advantageous as customers are given the same exact bun every time they order, which increases customer satisfaction
- however, this strategy is costly, time consuming and disposed of food solely based on presentation

- *overcoming resistance to change- financial costs, purchasing new equipment, redundancy payments, retraining, reorganising plant layout, inertia*
    - financial costs include the costs of re-organisation, redundancy payments, new equipment and retraining
    - purchasing new equipment may need to be funded from debt finance and DSL there may be finically resistance to changing technology within the business
    - employers may be discouraged from implementing change due to redundancy payments associated with employees being replaced by technology
    - when changes are made to the business, retraining staff is another cost to ensure employees are working productively, efficiently and effectively
    - when acquiring new technology, the factory must be reorganised so that equipment is placed in an efficient manner for manufacturing to occur
    - internal stakeholders may be inert to changes, as they are complacent in a stable and familiar environment; change creates uncertainty and risk, causing resistance from employees due to fear of job loss, deskilling and a higher workload

Case Study- Roche

- operations of pharmaceutical company Roche in Hong Kong required technological changes for greater flexibility
- Roche implemented the use of robotics to compete repetitive tasks that were previous carried out by employees, such as payroll
- however, with the introduction of robotics, there was greater resistance to change, as employees feared being replaced
- management then increased communication with employees to communicate that the vision of implementing technology is not to replace jobs, but to work alongside them to increase human potential
- this is advantageous as management identified that there was a resistance to technological change and immediately addressed employee concerns by improving their morale and successfully allowing Roche to transition robots in operation, decreasing lead times and increasing productivity
- however, using robots is costly and a time consuming process

- *global factors- global sourcing, economies of scale, scanning and learning, research and development*
    - global sourcing refers to the management of the global supply chain, which involves sourcing inputs from the cheapest regions, obtaining finance from countries with the lowest interest rates and distributing products to nations that demand them
    - economies of scale occurs when the business purchases a large amount of stock to lower production costs

- scanning and learning occurs when the business scans the global environment to identify and learn about global trends, such as new manufacturing processes and new products
- research and development is an innovation strategy that is associated with creating new products and improving existing ones

Case Study- Muratbey

- Muratbey is a Turkish company that sells a variety of cheese products and engaged in research and development to launch a new product and gain a competitive edge
- as a result of their research and development, a new range was launched, called Muratbey Plus, which are cheese products with the added health benefit of vitamin D
- this is advantageous, since consumers are more health conscious during the pandemic, and this product triggered great interest domestically and throughout Europe; exports to Europe increased by 40% and Muratbey is seeking to further increase exports, which account for 25% of their total revenue
- however, research and development is a lengthy process, and large sums of funds are invested into this process, which comes with the risk of failure

Role of marketing

- *strategic role of marketing goods and services*
    - marketing refers to the development of a product and the implementation of strategies to promote, price and distribute the product
    - the strategic role of marketing is to develop products that form a long-term relationship with customers
    - marketing also has the strategic role of providing choice and employment, increasing brand awareness, living standards and ultimately, market share

Case Study- Supergoop

- Supergoop, a Texas-based sunscreen brand with over 40 sunscreen options, have differentiated their products amidst the pandemic
- they have launched their store on Chinese e-commerce platforms, which meets the demand of beauty conscious Chinese customers
- in just a few weeks of the launch, Supergoop was out of stock due to high demand
- however, the lack of stock illustrates poor inventory management and forecasting skills

- *interdependence with other key business functions*
    - operations: transforms inputs to meet the requirements of the product design set out by marketing, marketing establishes the tasks for the transformation process and develops strategies to sell the product
    - finance: allocates budget for promotional campaigns, marketing executes promotion and implements effective strategies to generate profit
    - human resources: creative employees need to be acquired to design and develop a product to market, marketing determines the demand and skills required from employees to produce a product

Case Study- Aldi

- due to the heightened demand for toilet paper, Aldi have taken advantage of this by increasing their production
- however, the quality of the toilet paper has significantly reduced, which has posed a hindrance to the image of the business, leading to negative publicity

- *production, selling, marketing approaches*
  - the production approach involves the assumption of businesses that the high quality of a product instantaneously guarantees its success (more focus is directed towards a consistent production method, as high prices indicate high quality)
  - the selling approach convinces consumers of their need to purchase the product, as it will be of benefit to them (more focus is directed towards promotion and pricing strategies)
  - the marketing approach integrates the production and selling approach, as businesses focus on both the consumer's needs and the four marketing strategies

- *types of markets- resource, industrial, intermediate, consumer, mass, niche*
  - market refers to the total population that purchases products, based on their characteristics
  - resource markets produce and sell raw materials
  - industrial markets trade semi-finished goods that are used as supplies in the production process
  - intermediate markets are wholesalers that sell products, manufactured by other organisations, to retail businesses
  - consumer markets (markets that sell their product directly to consumers) are divided into mass market, market segment and niche market
  - mass markets sell products that all consumers needs, irrespective of their characteristics
  - market segment is one specific market which is narrowed down based on particular characteristics
  - niche markets are smaller sections of a large market segment, based on exclusive consumer needs

Case Study- Kathmandu

- Kathmandu belongs to the consumer market and has been directly impacted due to the closure of multiple stores and decreased levels of consumer confidence

Influences on marketing

- *factors influencing customer choice- psychological, sociocultural, economic, government*
  - psychological factors are the consumer's personal characteristics that influence their behaviour

- this includes:
    - motivation; consumers must satisfy their basic needs to be motivated to satisfy other desires (businesses need to determine the needs and desires that consumers are motivated to satisfy)
    - perception; a consumer's opinion about a particular product (businesses need to determine how their target market perceives their products and develop strategies that establish the positive image of a product)
    - learning; changes in an individual's behaviour as a result of an experience (businesses must be cautious of their product image and consumer reviews)
    - beliefs and attitudes; businesses need to be conscious of their target market's beliefs and attitudes
    - lifestyle; businesses need to determine the lifestyle needs of their target market to aim their strategies towards them
    - personality and self-concept; the way in which a consumer responds to the perception of others
- sociocultural influences are a result of the consumer's society and culture, and includes place of residence, cultural beliefs, family and peers
- economic influences are a result of a consumer's socioeconomic status, which is determined by income and occupation (consumers that have a high income are more likely to purchase expensive products, due to their purchasing power), as well as economic periods of boom (there is low unemployment, high income and inflation, which leads to consumer confidence and increased spending as businesses intensify their production and promotional efforts) and constriction (incomes are stabilised and unemployment slowly rises, which decreases consumer spending as consumers are more price conscious)
- government influences occur through the government's regulation of the economy and implementation of fiscal and monetary policies; fiscal policies refer to the government's actions that influence economic activity through its budget (which impacts the level of tax that consumers pay on products) and monetary policies are used by the Reserve Bank of Australia to influence economic activity through interest rates; interest rates determine the level of credit that consumers can access and affect borrowing power, which reflects a consumer's disposable income (the money that remains after paying off a loan or credit card), allowing consumers to purchase expensive items

Case Study- McDonald's

- as a business, McDonald's has demonstrated that it understands the key psychological drivers of consumers

- during the return of customers into stores after the pandemic, McDonald's noted that consumers will be seeking known brands and familiar routines

- *consumer laws*
    - the government promotes fair and competitive business behaviour through the Competition and Consumer Act 2010

– deceptive and misleading advertising
- giving misleading information about a product's feature or content
- overstating the benefits that the product will provide
- providing discounts and offers that don't exist
- using bait and switch advertising, where a heavily discounted product is limited in stock

– price discrimination
- giving preference to some retailers by providing them with stock at lower prices, compared to competitors
- competitors are discriminated against as they are forced to pay a higher price for a similar product, to which the retailer receives a discounted date
- however, the Competition and Consumer Act allows businesses to provide different stores with different prices only when it bulk quantities are ordered

– implied conditions
- the unwritten and unspoken terms of a sale
- consumer expectation that the product is consistent with its description, fit for purpose and is of acceptable quality
- regardless of whether a product carries a warranty, a business must refund a customer's money or offer an exchange if the product is faulty

– warranties
- can be a powerful marketing technique, where extended warranty (more than twelve months) is offered

Case Study- Lycamobile
- the ACCC fined Lycamobile for deceptive and misleading advertising
- Lycamobile advertised that they had unlimited plans
- the plans were only unlimited for the first three renewals, before converting back to a capped data allowance
- it is evident that the ACCC ensures that businesses strictly follow guidelines and engage in fair practices
- ultimately, Lycamobile was fined $12 600, ensuring that they comply with the rules and are mindful in how they advertise

- *ethical- truth, accuracy and good taste in advertising, products that may damage health, engaging in fair competition, sugging*
    - the broad principles that establishes the business's standard of behaviour and guidelines

Truth, accuracy and good taste in advertising

- expectation that marketing agents engage in fair and honest behaviour when developing marketing campaigns
- responsibility to make accurate and truthful claims about the capabilities of their product in advertisements
- unethical marketing practices include concealed facts, exaggerated claims, vague statements and invasion of privacy

Case Study- Lush

- Lush has taken steps to package their bath bombs and products using sustainable ingredients
- their supply chain is indicative of the ethical practices that meet consumer expectations

Products that may damage health

- businesses that sell products that may damage health, like demerit goods of alcohol, cigarettes and tobacco, must be aware of the ethical considerations surrounding the advertising of their product

Engaging in fair competition

- many businesses engage in behaviour that is legally or ethically unfair to competitors
- such behaviour includes price-fixing, in which two or more major competitors agree to increase prices (and so consumers have no choice but to buy from the competitions) and misleading advertising of a competitor's product

Sugging

- a process in which general questions in a survey are used to determined the consumer's needs and interests, to which the consumer is offered a product that, the business believes, caters to their needs
- unethical as consumers may be unaware that the business is promoting and selling its products

<u>**Marketing process**</u>

- *situational analysis- SWOT, product life cycle*
    - a situational analysis, which consists of a SWOT analysis and the examination of the product life cycle, provides the business with the opportunity to examine its current position within the market

- the product life cycle
- includes establishment, growth, maturity and post maturity
- the establishment stage starts when the product is first launched; sales growth is slow as awareness of the product is just being established and profits are limited

- the growth stage is when the business's profit grows as sales increase, as consumers become more aware of the product and there is an increased threat of competitors
- the maturity stage is when sales begin to slow; it is imperative that the business establishes a competitive advantage via differentiation and modifies its marketing strategies to ensure continued success
- the long-term future of the business is dictated in the post-maturity stage: a decline, renewal, steady state or cessation
- during the decline stage, there is increased competition and changes in the marketplace
- the renewal stage is when the business restricts the impact of increased competition and re-establishes itself with a competitive advantage
- the steady state stage involves the revitalisation of the business's product
- cessation is when the business ceases its production

- SWOT analysis
- used to examine strengths and weakness of a business within its internal environment, as well as opportunities and threats within the external environment
- also used to determine the appropriate strategies to rectify weaknesses and the most advantageous way to approach opportunities and threats
- strengths include highly skilled employees, financial stability and high quality products
- weaknesses include unmotivated and untrained staff, financial instability and low quality products
- opportunities include industry assistance and low interest rates
- threats include competitors reacting to the products of a business and high interest rates

Case Study- McDonald's

- a SWOT analysis allows McDonald's to better gauge their marketing strategies
- strengths of McDonald's include large market share and technology, with weaknesses being perception of unhealthiness and lack of central income over daily operations of franchised restaurants
- opportunities are digital media advertising and innovation of experience
- threats are negative publicity and food safety breaches
- additionally, the product life cycle of their french fries started with potato chips being replaced by french fries
- growth came from McDonald's rapid expansion, contributing to the fries' increased popularity
- maturity was when the public became aware that the fries were cooked in oil that was high in beef tallow and saturated fats
- renewal came when the recipe was changed to reduce the saturated fat and make them healthier, as well as extending on the base product of fries to create new variations

- *market research*
    - market research is the process of gathering information about the needs of the business and consumer, which is done by collecting primary and secondary data
    - primary data is information collected for the specific purpose that it will be used for
    - primary data is collected through surveys, experimental research and observational research
    - secondary data, which is gathered from internal and external sources, is information that already exists and has been collected for other purposes

Case Study- Aldi

- market research is an advantageous tool for businesses to identify consumer needs
- primary data collected indicates that there is an increased demand for cheaper products amidst the pandemic
- in doing so, this has allowed Aldi to give a competitive edge and identify the options that consumers prefer over other supermarket chains
- however, market research is costly and time consuming

- *establishing market objectives*
    - the business establishes a framework to develop a series of activities that aim to achieve their marketing objectives
    - these objectives are realistic, measurable short term goals and ultimately aim to increase sales and profitability
    - this includes increasing market share, expanding into new geographic markets, expanding product range and providing quality customer service
    - increasing market share (business sales over total industry sales) aims to boost the business's total sales, compared to its competitors within the market
    - expanding into new geographical markets allows the business to extend its influence within new markets and create a new source of sales
    - expanding product range presents the business with several opportunities, such as targeting new markets to attract other customers
    - customer service is of high quality when it continuously responds to the consumer's problems and needs, which results in a positive perception of the business, improved customer satisfaction and ultimately, a strong customer base with the potential of repeat purchases

Case Study- Huawei

- the pandemic has proven to be an opportunity for growth for Huawei, as their sales have soared

- Huawei was still able to lead the market, as 55.8 million smartphones were shipped, compared to Samsung's 53.7 million
- although Huawei dominates the market, 70% of sales belong to mainland china and only 27% to international markets, which limits the growth of their brand into new geographical markets
- it is clear that more effective marketing objectives should be implemented to ensure continued success

- *identifying target markets*
    - a target market is a group of consumers for whom a particular product has been developed
    - identifying a target market ensures that promotional material is relevant to their needs and assists the business in refining their marketing strategy to influence consumer choice
    - a primary target market is the market segment at which most of the marketing resources are directed to
    - a secondary target market is the smaller and less important market segment
    - in order to identify the appropriate target market, a business needs to understand the nature of consumer markets, which is a market that sells products directly to consumers
    - there are three types of consumer markets; mass market, market segment and niche market
    - a mass market consist of all individuals, and products that are sold in this market are mass produced, mass distributed, standardised and uniform in quality
    - a market segment is an area of a particular market that shares common characteristics
    - a niche market refers to a market segment within a large segment that has specific needs

Case Study- Australia Post

- Australia Post belongs to the mass market, where the postage service delivery is aimed at all consumers
- they have desperately been trying to meet consumer demands by trying alternative pick-up points for consumers to minimise delay and reduce negative consumer experience
- stage 4 restrictions in Victoria have impeded timely deliveries, due to the increase in mail and online shopping that have inundated employees with deliveries

- *developing marketing strategies*
    - plans that outline how a business will use its resources to achieve its marketing objectives
    - it refers to product, price, place and promotion

- product is the good or service that the business provides within the marketplace; quality, image and logo are all considered when developing strategies for a product
- price is the cost to the consumer that the business charges
- promotion is when consumer awareness and interest in the product, is created and maintained
- place is the accessibility of the product and the methods by which the product is distributed to consumers

Case Study- Netflix

- Netflix implements marketing strategies of product differentiation amidst the pandemic to meet increasing consumer demands
- this differentiation comes from a feature that allows viewers to immediately find a program they are interested in
- however, Netflix has tested a similar feature in the past, called "play something", where a random show was chosen for the viewer
- this didn't attract the expected attention and received ample criticism

- *implementation, monitoring and controlling- developing a financial forecast, comparing actual and planned results, revising the marketing strategy*
    - involves putting the marketing plan into practice

Implementation, monitoring and controlling

- implementation is the process of organising activities to achieve goals
- monitoring is the observation of the marketing plan's progress when implemented
- controlling is the process of comparing actual results to planned results, as well as taking corrective action

Developing a financial forecast

- a financial forecast must be developed, which details the cost and revenue for each strategy when evaluating alternative marketing strategies
- this forecast allows the business to decide on the appropriate course of action, using a cost and revenue analysis
- the cost estimate details the cost of the marketing plan, including market research, product development, promotion and distribution
- the revenue estimate details the amount of sales that the marketing is expected to generate, based on how much consumers are expected to buy

Comparing actual and planned results

- when monitoring the performance of its marketing plan, the business uses a sale analysis, market share analysis and marketing profitability analysis
- a sales analysis examines the sales of the product among different consumer groups, times of the years and sales representatives, which allows businesses to determine the influence of interest rates and employment conditions on their sales performance

- a market share analysis examines the business's sales performance relative to competitors, which allows the business to determine the extent to which customers have come from competition
- a marketing profitability analysis is the process of evaluating the financial and non-financial benefits derived from the marketing plan, against the costs of implementing the plan

Revising the marketing strategy

- once the results are apparent to the business, it can now assess which objectives are being met
- this information is used as the basis for revising the marketing plan
- because the marketing plan operates in a dynamic environment, it must constantly be modified
- these constant modifications come from product, price and place modifications, as well as product deletion
- product modifications ensure that the business is continuously upgrading their products to maintain a competitive advantage
- price modifications are important in the sense that prices regularly fluctuate, and so the business must modify their prices in response to changes in the external environment
- place modifications are put in place to expand distribution channels and cater for the growing market as product success increases
- product deletion is the elimination of outdated product lines that create an unfavourable image of the business

Case Study- Netflix

- Netflix's actual performance exceeds their expectation due to the pandemic
- subscribers have increased by 26 million globally
- their subscriber base grew by 10.09 million, exceeding the target of 7.5 million
- Netflix uses forecasts as tools to measure and evaluate their actual versus planned performance
- there has also been an increase in competition

<u>Marketing strategies</u>

- *market segmentation, product/service differentiation and positioning*

Market segmentation

- market segmentation is the process of breaking down the total market into a smaller market based on similar characteristics, which allows a business to establish the needs of this group and adjust their marketing strategies accordingly
- there are four methods to segmenting a market; geographic, demographic, psychographic and behavioural
- geographic segmentation is when the market is divided based on geographic location; a business may choose to operate in a specific geographic location,

so it can focus exclusively on meeting the needs and wants of people in those areas

- demographic segmentation is when the market is divided based on factors such as age, gender and income
- psychographic segmentation is when the market is divided based on consumer lifestyles
- behavioural segmentation is when the market is divided based on consumer attitudes toward a product, which is defined by four factors; benefits, usage, customer loyalty and purchase occasion

Product/service differentiation

- differentiation is when a business distinguishes the features and attributes of a product from its competitors
- two methods to achieve product differentiation are price and quality
- using price as a means of differentiation involves being the cheapest provider
- using quality as a means of differentiation involves promoting a high quality product
- four methods to achieve service differentiation are customer service, environmental concerns, convenience, as well as social and ethical concerns

Positioning

- positioning refers to the development of a product's image in the minds of consumers relative to competitors, based on quality, price and benefits

Case Study- Woolworths

- Woolworths has created a new budget homeware range targeted at budget conscious consumers
- prices of the new range start at $6, which is quite competitive for a range of 100 items
- the new range includes bedding, accessories and decorations
- given the unprecedented times of the pandemic, Woolworths have targeted consumers seeking cheaper alternatives, as consumers are refraining from overspending due to economic uncertainty
- this allows Woolworths to target a large segment of conscious shoppers and gain a competitive edge
- however a disadvantage is that the range is available for a limited time in shelves and the availability of certain items are dependant upon the consumer's location

- *products- goods and/or services*
  - *branding*
  - *packaging*

Branding

- branding refers to the product's reputation that develops over a period of time

- the brand name and logo of a product provides a message to consumer's about the quality and prestige associated with the product

Packaging
- packaging refers to the product's physical appearance when presented for sale
- because packaging is the first image of the product that the consumer sees, it is important for businesses to ensure that this image is effective and positive

Case Study- Purell
- the pandemic prompts Purell to renew their packaging
- due to the increased demand of hand sanitisers, Purell have decided to re-package their products to appear similar to conventional washing liquid bottles, compared to conventional hand sanitisers
- the new "emergency response" bottles specifically target frontline and essential workers to meet the needs of growing concerns around hygiene practices
- the high demand is likely to give Purell a large number of repeat purchases
- however, additional expenses, of re-packaging, incurred will need to be considered which may negatively impact them during economic instability

- *price including pricing methods- cost, market, competition-based*
  - *pricing strategies – skimming, penetration, loss leaders, price points*
  - *price and quality interaction*

Pricing methods
- a cost-based pricing method takes into account the total cost of manufacturing the product, to which a mark-up is added
- a market-based pricing method is when the price is set according to supply and demand
- a competition-based pricing method involves a business publicly stating that it will match a competitor's advertised price if that price is lower than what the business is charging for the same product

Pricing strategies
- price skimming is when the business charges the highest possible price for a product in order to recover research and development costs before competition enters the market
- penetration pricing is when the business charges the lowest possible price for a product to quickly achieve market share in the short term and prevent potential competitors from entering the market
- loss leader is when a product is sold at or below cost price to attract customers who are likely to purchase additional products, which recovers initial losses
- price points is when a business sells products at certain predetermined prices

Price and quality interaction

- price creates a perception of quality, where high prices correlate to higher quality compared to low prices

Case Study- McDonald's

- McDonald's developed an approach that positions a range of items in terms of price and quality
- the loose change menu has been implemented, which simplifies the menu as a loss leader pricing strategy undercuts competitors and attracts consumers that may purchase both a cheap and expensive item

- *promotion*

– elements of the promotion mix – advertising, personal selling and relationship marketing, sales promotions, publicity and public relations

– the communication process – opinion leaders, word of mouth

- promotion refers to the communication methods used by a business to inform, persuade and remind consumers of its product

Elements of the promotion mix

- the promotion mix seeks to generate awareness of a product
- advertising is a paid non-personal message communicated through a mass medium that increases sales and profit by informing, persuading and reminding consumers of the product's features
- advertising has the advantage of communicating with large numbers of potential consumers while reducing the cost per contact
- personal selling takes the product directly to the consumer, which is expensive but creates a long term relationship and repeat sales by offering personalised and individual assistance to each consumer
- relationship marketing is the process of creating and maintaining a long term relationship with the consumer
- relationship marketing seeks to increase consumer satisfaction and promote brand loyalty
- sales promotion refers to the use of activities that directly persuade customers to purchase a product, such as samples, discounts and competitions
- sales promotion entices new consumers and increases sales to existing consumers, as well as market share
- publicity is the process of creating an event for a business to generate product awareness and attract consumer interest
- public relations are activities aimed to create and maintain a relationship between the business and its consumers

The communication process

- opinion leaders are individuals that influence others due to their respected opinions, which creates a positive image within the consumer's mind
- word of mouth occurs when individuals influence one another during conversations

Case Study- McDonald's

- McDonald's is one of the most prolific advertisers in the world, as the franchise contributes 4% of gross sale revenue to be spent in advertising
- it is estimated that $4 billion is spent on promotion each year
- McDonald's uses TV, billboards, radio and social media to advertise, which is beneficial as a wide group of potential consumers are targeted
- also, McDonald's carries out relationship marketing using the MyMaccas app, where consumers are rewarded for frequent coffee purchases
- the app is designed to engage consumers and drive them to the store by providing personalised offers and mobile orders

- *place/distribution*
  - *distribution channels*
  - *channel choice – intensive, selective, exclusive*
  - *physical distribution issues – transport, warehousing, inventory*

- place refers to the methods of distribution and availability of the product

Distribution channels

- distribution channels are the routes taken to get the product to the consumer
- three types of distribution channels are product to consumer (for services), product to retailer to consumer (for bulky and perishable products), as well as product to wholesaler to retailer to consumer

Channel choice

- channel choice influences the types of customers the product attracts, and is dependent on market coverage, which is the number of outlets chosen for a business's products
- market coverage includes intensive, selective and exclusive distribution
- intensive distribution is when the business saturates the market with its products, making it highly accessible to consumers
- selective distribution is when only a moderate proportion of possible outlets are used, with the consumer travelling to purchase the product from the retailer
- exclusive distribution is when only one retailer is used for expensive products

Physical distribution issues

- physical distribution issues refer to the activities concerned with the efficient movement of products from the producer to the consumer, such as transport, warehousing and inventory
- transport is largely dependant on the type of product and level of care needed to move the product, which depends on cost and efficiency
- warehousing is the central organising point for receiving, storing and delivering the product

- inventory is the process of maintaining product quantity and variety appropriate for the target market

Case Study- Woolworths

- Woolworths have expanded their exclusive 'inspire' collection during the pandemic
- the new range will include 100 new items ranging from accessories and decorations, with the price starting at $6
- the new range will only be offered in the supermarket chain; this exclusive channel choice allows Woolworths to be in complete control of all elements of the production and distribution of their products
- however, the new range will only be available at a limited number of stores and the availability of the range is dependent on the demand, so consumers may not have access to their desired products

- *people, processes and physical evidence*
    - as the service sector has grown, three additional elements have been added to the marketing mix; people, processes and physical evidence
    - people refers to the quality of the interaction between the consumer and those who deliver the service, as well as the manner in which employees handle consumer inquiries, complains and questions
    - process is the total experience of buying the product- from research to experiencing to the benefits of the purchase; it is imperative that processes must have efficiently planned and organised activities to achieve consumer satisfaction
    - physical evidence refers to the environment in which the service is delivered

Case study- McDonald's

- McDonald's has changed the layout of their stores amidst the pandemic
- a number of social distancing measure have been implemented, as well as hygiene practices like sanitising tables, mask wearing masks and frequent hand washing
- this is advantageous as it allows McDonald's to adapt to external factors and actually stay open to keep up with consumer demand
- however, additional expenses may be incurred due to this new layout, such as gloves, face masks and in store cleaning facilities

- *e-marketing*
    - e-marketing refers to the use of internet and digital media to perform marketing activities
    - this allows the business to expand their market by reaching a global audience
    - it involves utilising web pages and social media advertising

Case Study- Google Ad

- the increasing nature of remote working has prompted businesses to rely more heavily on technology for the purpose of marketing
- businesses now prefer marketing on live streaming features that Facebook and Instagram offer, allowing a larger network of audience to be reached
- however, businesses must engage in extensive research before choosing their advertising platform to ensure that they are receiving value for the costs incurred

- *global marketing*
  - *global branding*
  - *standardisation*
  - *customisation*
  - *global pricing*
  - *competitive positioning*

- when carrying out global marketing, businesses must modify their marketing plan to suit local cultures , religions and customs

Global branding

- global branding is the worldwide use of a name, term, symbol or logo to identify products of one seller and differentiate them from competitors
- global branding is cost effective and allows the business to create a uniform, worldwide image

Standardisation

- a standardised approach to marketing assumes that a single product is used in the same manner everywhere in the world, so the marketing mix will be the same in all markets
- standardisation allows for economies of scale and is inexpensive as there are less research and development costs

Customisation

- a customised approach to marketing assumes that a single product is used in different manners everywhere in the world, so the marketing mix is modified to suit the local market, as well as their politics, tastes and socio-cultural attitudes

Global pricing

- the main challenge for transnational companies is global pricing; the way they go about their pricing policy across different countries
- there are three approaches to global pricing; customised, market-customised and standardised
- customised pricing is when consumers in different countries are charged different prices for the same product with additional costs for tax and insurance
- market-customised pricing allows for more flexibility as the price is set according to local market conditions, as well as supply and demand

- standardised pricing is when consumers in different countries are charged the same price for the same product

Competitive positioning

- competitive positioning is how a business differentiates its products in the global environment
- this can be done through operational excellence (a low cost, efficient operation means that the business can provide the product at a lower price), product leadership (innovative and quality products), as well as consumer intimacy (developing a personal profile of the consumer's shopping habits for a more customised experience)

Case Study- McDonald's

- Forbes recognises McDonald's as the world's tenth most valuable brand
- the success of their global branding is shown through the fact that 88% of the world's population can recognise the golden arches, compared to 54% who recognise the Christian cross
- McDonald's only makes small modifications to suit local markets, but generally, the company provide a similar experience in relation to its food and service
- McDonald's standardisation allows for a relative degree of consistency across a range of markets

Role of financial malmanagement

- *strategic role of financial management*
  - finance refers to budgeting and the allocation of funds to other key business functions
  - the strategic role of finance is to maximise profits in the long-term, and meet objectives such as profitability, growth and efficiency

Case Study- NAB

- NAB's strategic role changes amidst the pandemic
- NAB has downsized hundreds of IT workers after the costs at the bank continued to increase, with NAB needing to find ways to save immediately
- NAB has stopped work on 100 projects and will instead work on 20 projects considered vital to its survival
- this is advantageous as NAB can minimise its expenses to ensure that the business is focussing on their re-defined strategic role of financial management
- however, NAB's downsizing of their workforce has contributed to overall unemployment levels, which has negatively impacted the economy

- *objectives of financial management*

- *profitability, growth, efficiency, liquidity, solvency*
- *short-term and long-term*

– profitability, growth, efficiency, liquidity, solvency

- objectives refer to the short-term steps needed to achieve a final goal
- profitability refers to a business's ability to generate financial gain
- growth refers to the increase in the size of the business, and therefore increase profitability
- efficiency refers to the business's ability to collect its accounts receivables and the effective use of resources to minimise expenses
- liquidity refers to the business's ability to convert current assets into cash to pay off short-term debts as they fall due
- solvency refers to the extent to which the business can meet both short-term and long-term financial commitments

Case Study- Baby Bunting

- Baby Bunting targets announces expansion plans amidst the pandemic
- Baby Bunting have planned out their expansion strategy, which involves physically expanding into 100 stores, the growth of its private label brands and broadening its services department into more than just car seat installation
- this allows Baby Bunting to shirt their focus to capitalise on the current demand for its products
- because the rate of child birth has increased spine the pandemic, there has been more demand for baby products, which has seen their total sales grow by 11.8% to $405.2 million
- however, if Baby Bunting expands too quickly, they may lose control over their offering of products and services
- Baby Bunting must also consider the socioeconomic status of their customers, as those who have been financially impacted by the pandemic will have less disposable income

– short-term and long-term

- conflict exists between the short-term objective of liquidity and the long-term objective of growth
- growth can only be achieved by sacrificing liquidity

- *interdependence with other key business functions*
  - operations: operations uses the transformation process to manufacture a product, finance redistributes the funds made from the sale of the product
  - marketing: the marketing department implements strategies to promote, price and distribute the product, finance forecasts the budget from promotional campaigns and sales
  - human resources: human resources acquires, develops and maintains employees, finance provides human resources with funds to use for monetary rewards in maintenance
  - finance: finance creates budgets and allocates funds to purchase inputs and equipment, operations uses these funds to purchase inputs and equipment

Case Study- Dior

- Dior suffers from inventory problem amidst the pandemic
- a significant loss in sales caused by travel restrictions and store closures has led to a sharp decline in demand for luxury items, resulting in large amounts of unsold inventory
- the number of goods currently in stock in the luxury market has increased by 32%
- this causes the marketing department to work with finance to calculate the impacts of using discounted pricing strategies on level of sales and profitability
- marketing must conduct market research to identify regions of strong demand so that operations can manufacture accordingly

Influences on financial management

- *internal sources of finance- retained profits*
    - retained profits, sale of unwanted assets and owner's equity are the three types of internal sources of finance
    - these sources of finance are recorded under equity in the balance sheet
    - retained profits remain after the owner takes a part of the profits, as a reward for entrepreneurship, and reinvests the remainder back into the business
    - retained profits have the advantage of no interest, but its use significantly reduces the profit that can be used in investment opportunities
    - sale of unwanted assets refer to the funds received from selling unproductive assets, which improves liquidity
    - owner's equity (capital) is the money put into the business by its owners, which can come from personal savings or loans; no interest repayments need to be made but it is a limited source of funds

Case Study- Commonwealth Bank

- Commonwealth Bank retains more profit as an emergency source of finance
- they have doubled the funds set aside since last year's annual result to $2.5 billion and retained a quarter of their net profit to deal with the pandemic
- using retained profits allows the business to reduce reliance on external debt finance, as retained profits don't attract interest

- *external sources of finance*

– debt- short-term borrowing (overdraft, commercial bills, factoring), long-term borrowing (mortgage, debentures, unsecured notes, leasing)

– equity- ordinary shares (new issues, rights issues, placements, share purchase plans), private equity

– debt- short-term borrowing (overdraft, commercial bills, factoring), long-term borrowing (mortgage, debentures, unsecured notes, leasing)

- debt finance is any money that can be borrowed that attracts interest and must be repaid within a specified time period

Short-term borrowing

- short-term debt is repaid within 12 months
- overdraft refers to overdrawing the business's current account, where the business has a negative value in its account
- this is advantageous as it assists with short-term liquidity issues; even though it is convenient, it has a high daily interest rate
- commercial bills are a written order for a loan amount over $100 000 for a period of 90 to 180 days, which is borrowed from a non-standard financial institution
- this is advantageous as it is the cheapest, and finance is received immediately; however, commercial bills attracts the added expense of interest
- factoring involves selling accounts receivable at a discount to a factoring company
- this is advantageous as it is received immediately; however, 10% in commission is sacrificed as a fee to the factoring company

Long-term borrowing

- long-term debt is repaid after 12 months
- mortgage is a loan secured by the business's property and is used for property purchases
- this is advantageous as it allows the business to retain ownership over its non-current assets; however, monthly repayments serve as a long-term cost to the business
- debentures are secured loans made by a company to a business for a specific amount of money, interest rate and time period (all the company's assets are used to secure the loan)
- this is advantageous as the business has access to a large sum of money for a fixed amount, time period and interest rate; however, interest serves as a long-term cost to the business
- unsecured notes are unsecured loans issued by finance companies for a specific amount of money, interest rate and time period; the business can only access money if it is credit-worthy
- this is advantageous as the business doesn't provide assets as security; however, the interest rate is high
- leasing is the renting of a non-current asset in exchange for periodic payments to the owner of the asset
- this is advantageous as lease payments are tax deductible and don't affect gearing; however, the business doesn't retain ownership of the asset after the end of the agreement

– equity- ordinary shares (new issues, rights issues, placements, share purchase plans), private equity

- equity refers to the funds invested into the business by its owners
- public equity is conducted through new issues, rights issues, placements and share purchase plans on the Australian Stock Exchange

- ordinary shares involve selling shares to the public and providing part-ownership
- new issues refer to a share that has been issued for the first time; a prospectus, which outlines the financial goals of the business, is issued
- rights issues involves giving existing shareholders the right to purchase shares at a discount, in proportion to what they already own; this is often used for financially unstable businesses
- placements is the offering of additional shares to specific and large investors
- this is advantageous as placement funds can be raised quickly and in large amounts; however, an underwriters' fee may need to be paid, which is an additional fee for large sums of money
- share purchase plans allow existing shareholders to be issued a maximum of $30 000 in new shares without providing a prospectus
- private equity involves the owners going outside their private company to sell shares and seek external equity finance
- this is advantageous as the cost of finance can be postponed, as shareholders don't need to pay dividends immediately; however, ownership becomes diluted as the original owners have less control

Case Study- Peter Sheppard

- Peter Sheppard pays Westfield $123 000 every month in lease payments in return for operating in a 1000 square metre shop at Pitt Street Mall
- this is advantageous as the business has never required a large capital outlay to purchase a shop; instead, the tax deductible lease payments are made to Westfield every month
- however, leasing a non-current asset is risky during uncertain times; even during travel restrictions and decreased sales, Peter Sheppard was still required to make the lease payments

- financial institutions- banks, investment banks, finance companies, superannuation funds, life insurance companies, unit trusts and the Australian Securities Exchange
    - banks influence businesses as they are a major source of finance and receive savings and deposits which is then invested in the form of loans to borrowers; businesses are influenced by the cost of borrowing provided by banks
    - investment banks deal with large businesses and arrange international finance, provide advice and manage investments
    - they arrange long-term finance for company expansion, underwrite share issues and manage unit trusts
    - finance companies deal with small businesses and raise capital through debentures; they also provide loans, leases and factoring
    - superannuation funds receive long-term funds from contributions and provide them to corporations by investing in shares and property; it invests into businesses, which allows businesses to generate profit

- life insurance companies gain large amounts of funds from premium and policy payments, which is then used to invest and provide loans to other businesses
- unit trusts are managed by a trustee and offered to the public for investment; the money from the sale of units is then pooled and invested in financial assets
- the Australian Securities Exchange raises capital by issuing shares; public companies can trade and sell shares

Case Study- Commonwealth Bank

- Commonwealth Bank has launched a new digital service that allows small businesses to access loans up to $50 000
- this is advantageous as the process of accessing loans has been simplified, allowing businesses to boot cash inflows
- however, the borrowing costs of these loans is an added expense; when businesses rely on debt, their overall borrowing costs increase due to interest repayments

- influence of government- Australian Securities and Investments Commission, company taxation
    - Australian Securities and Investments Commission (ASIC) is an independent statutory commission that enforces the Corporations Act and reduces fraud and unfair practices in financial markets
    - ASIC ensures that companies adhere to the law and collects the financial information of companies
    - company taxation is paid on profits, so businesses need to take this into account when purchasing and pricing products

Case Study- Australian Industry Group

- Australian Industry Group has urged the government to bring forward proposed tax cuts that were expected to start in 2022
- under these tax cuts, businesses with a turnover of less than $1 billion would qualify for a reduced company tax rate of 25%
- this Influences businesses through changes in tax rates, which is advantageous to companies who meet the threshold as the company tax rate has reduced from 30% to 26%, enabling businesses to pay reduced tax on their profit

- global market influences- economic outlook, availability of funds, interest rates
    - economic outlook refers to the projected changes to economic growth; if an outlook is positive, there is increased demand for products and businesses would have to increase production to meet demand and therefore require funds to purchase equipment
    - during positive economic outlooks, there are also decreased interest rates on funds borrowed internationally

- availability of funds refers to the ease of access to funds in the international market. Risks, demand and supply and domestic economic conditions impact the availability of funds
- interest rates are the cost of borrowing money; interest rates of foreign countries tend to be lower, so Australian businesses may take advantage of this, which is risky as currency fluctuations could eliminate the benefit of cheaper overseas interest rates

Case Study- Apple

- the pandemic has seen a negative economic outlook, specifically for Apple, which operates in China
- this has caused profits and sales to decrease, to the extent that Apple had announced that their revenue goal of $65 billion would not be achieved this year
- in China, Apple faced 42 store closures and a shortage of iPhones as factories could not operators at full capacity

<u>Processes of financial management</u>

- *planning and implementing- financial needs, budgets, record systems, financial risks, financial controls*
  - financial needs allow the business to assess their current financial position and is determined by the size of the business, future plans for growth and capacity to source finance
  - developing budgets show the cost of raw materials, the cost of capital and associated expenses
  - budgets assist the business in planning and controlling their finance through income statements, balance sheets and cash flows
  - record systems are the mechanisms that ensure the collected data and information provided by record systems is accurate and reliable
  - financial risks are the risks to a business of being unable to cover its financial obligations; if the business is financed from borrowings, there is higher risk
  - businesses must also have current assets to convert into cash if they have short-term debt
  - financial controls ensure that the determined plan will efficiently achieve the goals of the business, which is done by clear responsibility for tasks within the business, rotation of duties and control of cash, where cash registers are used

- *debt and equity financing – advantages and disadvantages of each*
  - debt financing refers to short and long-term borrowing from an external source
  - this is advantageous as there is an ease of accessibility, because funds are readily available, interest payments are tax deductible and ownership isn't diluted
  - this can also be disadvantageous as the cost of borrowing is high, variable interest rates cause uncertainty and increase the risk of

borrowing, gearing is increased and interest repayments must be repaid on certain dates
    - equity financing refers to raising capital by selling shares
    - this is advantageous as it lowers gearing, there is no interest to be repaid and funds don't have to be repaid
    - this can also be disadvantageous as it is not well suited to raising funds quickly, lowers profit and return to owners and ownership is diluted

- *matching the terms and source of finance to business purpose*
    - used terms of finance must be suitable for the structure of the business and the purpose that the funds are required for
    - short-term finance funds current assets and achieves short-term objectives, such as liquidity
    - long-term finance funds non-current assets and achieves long-term objectives, such as growth
    - the cost of each source of funding must be determined and the return is also taken into consideration and measured against the cost of each source
    - the level of control maintained by the business is important; if the lender requires security over the assets, the business's ability to consider future finance possibilities is reduced

- *monitoring and controlling- cash flow statement, income statement, balance sheet*
    - a cash flow statement shows cash inflows and outflows
    - it provides information about the business's ability to pay its debts, generate a positive cash flow and obtain finance from external sources
    - it also identifies periods of temporary cash flow shortages and low cash receipts so the business can plan for these times
    - an income statement is a statement of financial performance and shows the revenue earned and costs incurred; it is created through the following equations:
    - $Gross\ profit = sales - COGS$
    - gross profit is the profit made on the sale of goods after paying the cost of purchasing them
    - $COGS = opening\ inventory + purchases - closing\ inventory$
    - $Net\ profit = gross\ profit - expenses$
    - net profit is the final amount of revenue remaining after all expenses have been paid
    - a balance sheet is a statement of financial position and shows the business's assets and liabilities
    - it is divided into current assets (which can be converted into cash within 12 months), non-current assets (which generates revenue and takes longer than 12 months to be converted into cash), current liabilities (debts that are payable within 12 months), non-current

liabilities (debts that take longer than 12 months to be paid back) and owner's equity (the money invested by the owners into the business)

- and so the accounting equation is $Assets = liabilities + owner's\,equity$

- *financial ratios*
  – liquidity- current ratio (current assets ÷ current liabilities)
  – gearing- debt to equity ratio (total liabilities ÷ total equity)
  – profitability- gross profit ratio (gross profit ÷ sales); net profit ratio (net profit ÷ sales); return on equity ratio (net profit ÷ total equity)
  – efficiency- expense ratio (total expenses ÷ sales), accounts receivable turnover ratio (sales ÷ accounts receivable)
  – comparative ratio analysis- over different time periods, against standards, with similar businesses

Liquidity- current ratio

- $\frac{current\,assets}{current\,liabilities}$; for every \$1 of current liabilities, the business has \$x of current assets

Gearing- debt to equity ratio

- $\frac{total\,liabilities}{total\,equity}$; for every \$1 of owner's equity, the business has \$x of debt (gearing can be improved through sale and lease back, as well as additional share issues)

Profitability

- gross profit ratio: $\frac{gross\,profit}{sales}$(for every \$1 of sales, \$x was made as gross profit and \$x was absorbed by COGS)
- net profit ratio: $\frac{net\,profit}{sales}$(for every \$1 of sales, \$x was made as net profit and \$x was absorbed by expenses)
- return on equity ratio: $\frac{net\,profit}{total\,equity}$ (for every \$1 of owner's equity, business owners make a \$x return)

Efficiency

- expense ratio: $\frac{expenses}{sales}$(for every \$1 of sales, \$x is absorbed by expenses)
- accounts receivable turnover ratio: $\frac{365/sales}{accounts\,receivable}$ (accounts receivable refers to a current asset that represents money owed to the business)

Comparative ratio analysis- over different time periods, against standards, with similar businesses

- the ratios collected by financial statements are used to make comparisons over different time periods, against standards and other business

- by comparing the current year's results to the previous year, businesses can identify trends in profit, costs and financial stability and whether it is achieving financial objectives
- comparing against set standards is called benchmarking, where the business compares results with established standards in their industry
- comparing with similar businesses allows the business to implement corrective action by using the ratios of a successful businesses as a point of comparison

- *limitations of financial reports- normalised earnings, capitalising expenses, valuing assets, timing issues, debt repayments, notes to the financial statements*
    - normalised earnings is the process of removing one-off influences from the balance sheet that distort real accounting figures to provide a more realistic assessment of the business's earning performance
    - capitalising expenses turns expenses into assets, which misleads shareholders and doesn't represent the true financial condition of the businesses as it understates expenses and overstates assets and profit; for example, research and development is an expense not an asset
    - valuing assets involves putting the estimated market value of an asset on the balance sheet; the true value of the asset is not known
    - when such assets are written on the balance sheet, the value is written in historical costs- when assets are recorded at their original purchase cost, which may be unrealistic and undervalue or overvalue the business's assets
    - timing issues involves manipulating the timing of transactions to mislead about the business's financial position ; the accrual accounting method should be used, which is when expenses and sales are recorded when they take place, rather than when the cash is actually paid off or received
    - debt repayments involves recording debt finance as a historic cost (amount initially borrowed) and not representing the debt repayments in the revenue statements (as expenses)
    - financial statements don't disclose the nature of the debt and how long it has been outstanding
    - even though the balance sheet discloses the amount borrowed, and the income statement discloses the interest on the amount owed, there is no disclosure of the principal repayments made in each period
    - notes to the financial statement are at the end of financial reports, and includes additional details and information left out of the main report; such notes are lengthy and usually use complicated terminology, which discourages investors from reading and understanding these notes

- *ethical issues related to financial reports*

- audited accounts assist in ensuring the ethics of financial reports, which is an independent check of the accuracy of financial records and accounting procedures
- audits also determine the true and fair view of the business's financial condition, if the financial records are in line with accepted accounting standards and check that the records provide accurate information
- the record keeping of a business must include documents created for every transaction; if cash is received in the form of notes and coins, and the business does not record this transaction, it doesn't show up as a revenue and reduces profit, resulting in lower tax
- reporting practices involves granting stakeholders access to a business's financial information

Financial management strategies

- *cash flow management*
  - *cash flow statements*
  - *distribution of payments, discounts for early payment, factoring*

- cash flow management refers to the monitoring of cash inflows and outflows

Cash flow statements

- cash flow statements are used to show the management of short-term cash inflows and outflows
- by creating a cash flow statement of predicted cash flows, businesses can prevent a cash shortage and avoid the need for more debt by planning ahead

Distribution of payments, discounts for early payment, factoring

- distribution of payments refers to the cash going out of the business to pay creditors
- the business tries to change repayment dates to improve cash inflows by asking creditors if they can pay earlier or later, according to which months the business has greater cash inflows to prevent cash shortages
- discounts for early payments involves a percentage that the business takes off the original price to obtain cash inflows quicker than the date that should be paid
- this encourages quickly payments from consumers who owe the largest amount of money, which improves cash inflow
- however, the cash inflow is reduced due to the discount offered to consumers
- factoring is the selling of accounts receivable for a discounted price to a specialist factoring company, which improve cash inflows by increasing the amount of available cash into the business
- the business receives 90% of the accounts receivable, which improves cash inflow
- however, the full amount of accounts receivable won't be received by the business, as a 10% commission is given to the factoring company

Case Study- Subway

- over 1000 Subway franchisees will be temporarily relieved of certain charges by changing the dates of which they must repay
- Subway has deemed this as a necessary act during the pandemic to increase their cash on hand
- franchisees aren't required to pay marketing changes and will only need to pay half of their royalty fees

- *working capital management*
    - *control of current assets – cash, receivables, inventories*
    - *control of current liabilities – payables, loans, overdrafts*
    - *strategies – leasing, sale and lease back*

- working capital refers to the funds available for short-term financial commitments

Control of current assets- cash, receivables, inventories

- controlling cash involves the preparation of a cash budget, which details the expected cash inflows and outflows over a specified period and allows arrangements to be made to borrow funds
- receivables can be controlled by implementing invoice discounting and a credit policy
- invoice discounting is when the business offers a discount in the invoice value for early payment
- implementing a credit policy involves encouraging early payment, checking the credit rating of customers, implementing policies for bad debts and following up on accounts that aren't paid by the due date
- inventories can be controlled by having an inventory policy, which sets out the location of inventory, the quantity of each item in stock and the quality that the inventories are in

Control of current liabilities- payables, loans, overdrafts

- payables are debts owed to suppliers and are controlled by businesses through stretching accounts payables, which involves paying them as late as possible without damaging the business's credit rating
- this maximises interest-free cash, reduces costs and allows the business to take advantage of discounts offered by some creditors
- loans are controlled by finding alternative sources of funds and ensuring that the most appropriate short-term loan is used to meet the business's short-term financial commitments
- overdrafts are controlled by minimising costs and investing surplus cash in marketable securities so that interest is earned

Strategies- leasing, sale and lease back

- leasing is the hiring of an asset from a company in exchange for regular payments

- short-term leasing conserves working capital as it is tax deductible and there is no upfront payment; as a result, cash can be used elsewhere so working capital is improved
- sale and lease back is the selling of an owned asset to a lessor (an individual that leases property) and leasing the asset back through fixed payments which increases liquidity as the cash obtained from the sale is used as working capital

- *profitability management*
  - *cost controls – fixed and variable, cost centres, expense minimisation*
  - *revenue controls – marketing objectives*

Cost controls- fixed and variable, cost centres, expense minimisation

- fixed and variable costs can be improved by negotiating discounts with suppliers, switching to a cheap supplier and casualising the business's workforce
- a cost centre is a unit within the business; comparison of costs with budgets, standards and previous periods ensure that costs are minimised
- management may provide the cost centre with a budget and monitor their expenses to minimise waste and achieve maximum use of resources
- expense minimisation involves the use of budgets to reduce losses, which lists the main activities of the business and allocates a budget for each activity

Revenue controls- marketing objectives

- a business must have a clear idea of its marketing objectives, including sales objectives, sales mix and pricing policy
- sales objectives must be set at a level that covers costs; a cost-volume-profit analysis is used to determine the level of revenue to cover fixed and variable costs to break even
- changes to the sales mix refers to the range of products that the business has for sale, each of which generate a different profit margin
- businesses should control this by determining the products that generate the largest revenue and eliminate the products that are the least profitable
- pricing policies may be centred around cost-based pricing, penetration pricing, loss leaders or product-deletion pricing

- *global financial management*
  - *exchange rates*
  - *interest rates*
  - *methods of international payment- payment in advance, letter of credit, clean payment, bill of exchange*
  - *hedging*
  - *derivatives*

Exchange rates

- currency fluctuations are changes in the exchange rates, which involves calculating how much is received when the Australian Dollar (AUD) is swapped for another country's currency
- when the AUD appreciates, it is worth more when converted to other currencies; Australian importers benefit, as goods become cheaper. Australian exporters suffer, as it is more expensive for foreign buyers
- when the AUD depreciates, the sales of Australian exporters increase, as their products are cheaper for foreign buyers; however, Australian importers have to pay more
- a strategy to eliminate the effect of currency fluctuations is hedging, which reduces the risks of currency fluctuations when transactions are undertaken in different currencies

	Importer	Exporter
Appreciation	positive; products are less expensive to buy from overseas	negative; products are more expensive
Depreciation	negative; products are more expensive to buy from overseas	positive; products are less expensive

Interest rates
- businesses borrow from the country with the lowest interest rate
- however, there is an exchange rate risk for the business
- if the value of the home country's money depreciates, then interest repayments increase as it costs more AUD to obtain the same amount of foreign currency to pay the interest and repay the loan
- transaction exposure refers to the risk that exchange rates may change after the business has already entered into its financial obligations

Methods of international payment- payment in advance, letter of credit, clean payment, bill of exchange
- payment in advance is the most secure method of payment; it is when the exporter bears the least risk as they receive the payment in advance (the importer pays before they receive the goods)
- a letter of credit is a document issued by the importer's bank to the exporter, promising to pay the exporter on presentation of the shipment documentation (evidence is shown that the goods have been shipped)
- clean payment is when the exporter trusts the importer; the goods are shipped before payment is received and documentation is handled between the trading companies
- a bill of exchange is a written order from an exporter, requesting that the importer pay the seller a specified amount of money at a specified time; the bank acts as a negotiator and ensures that the importer received their goods and that the exporter is paid
- when the exporter arranges for the product to be transported, it will receive official shipping documents. Once these documents are presented to the bank by the exporter, the bank arranges for payment to be made

- payment in advance, letter of credit, bill of exchange, clean payment

low risk	(exporter)	high risk
high risk	(importer)	low risk

Hedging

- hedging reduces the risk of transactions undertaken in different currencies and exchange rate fluctuations
- transaction exposure is the risk that exchange rates will change after a business has already entered into financial obligations
- hedging using subsidiaries is when the business doesn't change their currency, and instead deals with the same dollar to avoid fluctuations in the exchange rate

Derivatives

- derivatives are financial contracts that allow a business to buy something from an other business for an agreed price when they enter into the contract
- derivatives are used to reduce the risks of fluctuations in the exchange rate
- there are two types of derivatives; forward exchange contract and currency option contract
- by using a forward exchange contract, the bank guarantees the exporter an agreed exchange rate on a certain date in the future; the exporter will be able to accurately forecast its revenue from the sale of its products
- this rate will be paid regardless of what the exchange rate actually is on the agreed date
- if a currency option contract is used, the business has the option to purchase the products when the exchange rate movement is favourable and to its advantage

<u>Role of human resource management</u>

- *strategic role of human resources*
    - human resources refers to the total management of the relationship between the employee and employer
    - the strategic role of human resources is to acquire the most appropriate employees, develop their skills and maintain their

    position within the business through monetary and non- monetary rewards
  - human resources also aims to invest into staff as a long term asset, meet consumer expectations and create a positive business culture

Case Study- Qantas and Woolworths

- both Qantas and Woolworths joined forces to support employees during the pandemic
- this will allow employees to have a constant source of income and Woolworths to meet demand

- *interdependence with other key business functions*
  - operations: production process provides work, ensures employees have the appropriate skills and experience to manufacture the product
  - finance: provides budget for wages and implementation of training programs, employees needed in finance department and is the main source of performance measurement data, which gives insight into the staffing needs of the business
  - marketing: determines product demand so skills are required from employees, advises human resources to reallocate tasks for employees and creative employees need to be acquired to design and develop a product to market

Case Study- Qantas

- Qantas continues to cut jobs and minimise expenses during the pandemic
- Qantas aims to achieve their final objectives of expense minimisation through job cutting

- *outsourcing*
  - refers to when a business hires another business to partially, or completely, take over a non-core business function, like payroll and administrative procedures

Case Study

- Qantas outsources ground crew workers due to the pandemic
- this will allow expenses to be minimised by saving $100 million dollars

- *human resource functions*
  - another company manages the human resource cycle
  - functions of human resources that can be outsourced include payroll, induction and the acquisition stage
  - advantageous as it enables the business to shift their focus to important core functions, reduces cost and improves quality
  - disadvantageous as the business loses a degree of control, employees may experience incompatibility while working with individuals from

the other business and the outsourced business may lack understanding of business culture

- *using contractors- domestic, global*
  - employees are bound by a contract of service: they offer their services on a regular basis, are subject to the lawful control of the employer and employment is ongoing
  - independent contractors are subject to a contract for service: employment isn't ongoing and an agreed fee is paid for their service, which exists as a fixed period
  - domestic contractors (on-shoring) is the obtaining of a service outside a company but within the same country
  - global contractors (off-shoring) is the obtaining of a service outside a company and outside the country

<u>Key influences</u>

- *stakeholders- employers, employees, employer associations, unions, government organisations, society*
  - an individual or group who have a vested interest in the activities of the business (the decisions of the business affect them and they affect the decisions of the business)

- employers
  - an individual that pays others to work for their business
  - responsible for dispute resolution, negotiate agreements and human resource issues and cycle

- employees
  - an individual that provides their skills to the employer in return for a regular stream of income

- employer associations
  - organisation that promote the interests of employers
  - provide advice to employers on policy changes, unfair dismissal and act for employers in collective bargaining sessions

- unions
  - organisation that promote the interest of employees
  - provide advice to employees on disputes, workplace rights, wages and occupational health for employees in wage negotiations

- government organisations
  - establishes legal framework of employer and employee relationship by way of the Fair Work Act (2009)
  - develop awards, which are the minimum conditions granted to employees outlined in the National Employment Standards

- society
    - workplace practices are indicative of the beliefs held by society
    - discrimination, harassment and unfair working conditions are becoming increasingly publicised

- *legal- the current legal framework*

  – the employment contract – common law (rights and obligations of employers and employees), minimum employment standards, minimum wage rates, awards, enterprise agreements, other employment contracts
- obligations of employers include duty of care, duty to pay agreed wage and duty to provide work
- obligations of employees include duty to work with skill, duty to disclose relevant health information and duty to obey lawful commands
- minimum employment standards set out in the Fair Work Act (2009) outline the ten minimum workplace entitlements that employees must receive and includes maximum hours, request for flexible working conditions, parental leave, annual leave, personal carer's leave, community service leave, long service leave, public holiday pay, notice of termination (redundancy pay) and provision of Fair Work Information Statement to new employees
- minimum wage rates must be equal to or greater than an award; the Fair Work Commission conducts a Better Off Overall Test on enterprise agreements
- awards are legal documents that outline the minimum wages and working conditions for all employees working in a particular industry
- enterprise agreements are exclusive to a business and its employees and once it is negotiated, the Fair Work Commission conducts a Better Off Overall Test
- other employment contracts are part-time, where the employee works a fixed set of hours per week (usually less than a full-time employee and receives benefits on a pro rata basis), permanent (full-time work of 38 hours, where there is continuous employment) and casual (where 1-3 shifts are worked, receive no entitlements but 1.5x the wage of an employee)

– work health and safety and workers compensation
- the Work Health and Safety Act (2011) outlines the rights and responsibilities of employers and employees in regard to workplace safety
- employers must provide a safe workplace and minimise potential risks
- businesses with more than 20 employees must have a committee for occupational health and safety
- the Workers Compensation Act (1987) ensures financial compensation and a safe return to work for injured employees

– anti-discrimination and equal employment opportunity
- Sex Discrimination Act (1984) prohibits discrimination on the basis of gender, pregnancy and marital status
- Racial Discrimination Act (1975) prohibits discrimination on the basis of race
- Affirmative Action (Equal Employment Opportunity for Women) Act (1986) requires employers to promote equal opportunity for women in employment
- Disability Discrimination Act (1992) prohibits discrimination on the basis of disability

- *economic*

  Economic cycle
- an economic boom is associated with low unemployment, increase in jobs and employee bargaining power (working conditions and wages)
- a recession is associated with high unemployment, overtime and shifts are reduced and there is a decrease in jobs and employee bargaining power

  Inflation
- as prices rise, the cost of living increase too
- and so, employees seek to receive high wages to compensate for the increased cost of living
- higher wages result in increased production costs, causing businesses to reduce their workforce

  Globalisation
- increased competition from foreign businesses mean that domestic business aren't able to compete with lower prices
- so, businesses cease operations and retrench employees

  Case Study- NAB
- NAB downsizes their workforce during the pandemic, allowing management to focus on more important projects and cut back on costs

- *technological*
  - the use of scientific knowledge and equipment in the production process
  - increases efficiency, improves quality, up-skills employees and fosters a sense of continued learning
  - costly due to redundancy pay-outs, employee resistance to change due to re-training, loss of employment as technology replaces labour-intensive work and decreased employee morale

Case Study- Woodman's Markets
- Woodman's Markets replace human labour with technology during the pandemic
- this is more efficient and improves quality, allowing them to meet consumer demand and cut costs
- however, there is a risk of faults during the operation process and the involvement of establishment costs

- *social- changing work patterns, living standards*
  - greater diversity in ethnicities, cultures and genders
  - decrease in men's full time participation and women are still underrepresented in CEO positions but their participation has increased in part time and casual work
  - this has forced businesses to introduce job sharing, flexible working conditions, decrease in traditional hours and other incentives

Case Study- Amazon

- Amazon India has opened a female-only unit to fulfil careers for women by offering flexible working conditions, on the job training and mentoring
- this scheme empowers and encourages women by providing more opportunity for their employment
- it is also quite costly

- *ethics and corporate social responsibility*
    - corporate social responsibility refers to when businesses go above and beyond minimum legal requirements to add value to society and give back to the community
    - corporate social responsibility can be implemented through th promotion of a work-life balance, cultural awareness training, anti-discrimination programs and affirmative action
    - enhances reputation and public perception of the business, which may be used to promote the recruitment of staff
    - influences how employees view their organisation and how they are ambassadors for it

McDonald's- Case Study

- McDonald's provides further support to scholarship winners to enable online learning through the pandemic

<u>Processes of human resource management</u>

- *acquisition*
    - involves identifying staffing needs, recruitment and selection
    - identifying staffing needs involves a job description, which describes the duties, tasks and responsibilities associated with the job
    - internal recruitment refers to promoting staff that already exist within the business, whereas external recruitment refers to acquiring an employee externally
    - the selection process involves reviewing application forms and interviewing the individual to assess the suitability of the applicant

Case Study- Amazon

- the pandemic has caused an e-commerce boom, with many businesses increasing their online presence
- Amazon is in the process of acquisition, where 100 000 more staff are needed due to the preference of online shopping over physically visiting stores
- new employees will be put to work in over 100 new facilities; Amazon has already recruited 175 000 to keep up with demand
- this is advantageous as Amazon can identify which staff they require and the type of employment they will be given
- Amazon will recruit a further 100 000 employees on both part-time and full-time contracts
- 125 000 workers will also be kept as long-term employees

- however, the disadvantage is that acquisition takes time to identify, recruit and select workers

- *development*
    - involves preparing employees for future responsibilities within the business
    - training methods include on-the-job training and off-the-job training
    - on-the-job (informal) training includes advisers, traineeships, apprenticeships and job rotation
    - off-the-job (formal) training includes TAFE, university courses, seminars and in-services

Case Study- Stewart Milne

- during the pandemic, businesses could no longer provide face-to-face training programs
- Stewart Milne overcame this and provided off-the-job training to employees through online courses and programs
- the e-learning platform provides compulsory industry related training, as well as cooking classes
- this is advantageous as Stewart Milne has saved $80 000 and provided 1700 hours of online training, with 90% of employees accessing the programs
- however, the extent to which employees take the training seriously will remain unknown

- *maintenance*
    - refers to keeping employees within the business using monetary and non-monetary benefits
    - by retaining loyal and committed employees, the business can increase its productivity, improve workplace morale and decrease costs through lower staff turnover
    - monetary benefits have a financial benefit and include cash bonuses
    - non-monetary benefits include a company car, more flexible working hours and greater job variety

Case Study- Google

- Google extends employee's Labour Day long weekend to maintain employee wellbeing during the pandemic
- Google has identified the need to provide employees with an extended long weekend by giving an additional day off, creating a four weekend rather than three
- this additional day has been declared a collective wellbeing day, and is advantageous as employees can recover from the stress of a new work environment and a global pandemic, increasing productivity
- however this is disadvantageous as Google will have to pay all employees for this additional day off, which will add to their expenses

- *separation*

- refers to the ending of the relationship between the business and employee
- voluntary separation occurs when the employee wilfully chooses to leave the business, and includes retirement, resignation and voluntary redundancy
- retirement occurs when an employee gives up their full-time or part-time work
- resignation involves the employee leaves their job, due to boredom, change of lifestyle or dissatisfaction with their job
- voluntary redundancy occurs when the business downsizes their workforce and the employee's job is no longer needed; employees are given the opportunity to nominate themselves for a redundancy package
- involuntary separation occurs when the employee's leaves the business against their own will, and includes retrenchment, dismissal and involuntary redundancy
- retrenchment involves reducing the number of staff due to the business downsizing
- dismissal is the termination of the employment contact as a result of unacceptable behaviour, such as not performing the job properly or dismissal after a series of warnings
- unfair dismissal occurs when the employee is dismissed for discriminatory reasons, such as race, sex, religion or absence from work due to illness

Case Study- Coca-Cola

- Coca-Cola has experienced a 33% decrease in sales, resulting in implementing separation procedures
- Coca-Cola paused the acquisition process and engaged in more separation
- Coca-Cola aims to reduce expenses by $140 million by pushing recruitment of new employees and reducing travel expenses
- 4000 employment contracts were ended through the offer of voluntary redundancy packages
- this is advantageous as Coca-Cola can reduce their expenses and make up for the significant lack of sales worldwide

<u>Strategies in human resource management</u>

- *leadership style*
  - the autocratic leadership style centres on planning, organising and controlling, where managers clearly tell employees what they want done
  - management makes all decisions with no staff input, allowing decisions to be made in a timely manner
  - however, employees can quickly become dissatisfied and have low morale
  - the democratic leadership style involves staff input when making decisions, but the final decision rests with the manager, which boosts employee morale and empowers employee
  - however, this leadership style can cause a delay when making decisions

    - the delegation leadership style involves employees making all decisions with no manger input, which is advantageous as it recognises employees being highly capable and having the relevant knowledge
    - however, decisions take longer to be made and employees must be highly skilled

Case Study- Netflix

- Netflix's CEO implemented delegative leadership style during the pandemic to foster growth
- Netflix is void of dress code, doesn't deem the approval of expenses necessary and encourages employees to provide constructive criticism
- this is advantageous as employee motivation and sales of the company have improved, with more than 30 million new subscribers
- however, this is disadvantageous as the leadership style requires great trust between management and employees, which resulted in an employee taking advantage of this and wrongfully claiming $100 000

- *job design- general or specific tasks*
    - refers to the way various activities are combined to produce a good; it is the actual method of tasks the employee performs in the workplace
    - specific job design involves splitting the job using the division of labour, where the overall flow of work is broken down into specific tasks; each task is performed by separate employees
    - this is advantageous as employees become experts at their specific task, which increases quality and speed
    - however, employees can quickly become dissatisfied by performing repetitive tasks all day
    - general job design involves giving employees more autonomy by having them perform a group of tasks
    - this is advantageous as it leads to greater job satisfaction, as there is more variety in their work
    - however employees must be highly skilled

- *recruitment- internal or external, general or specific skills*
    - internal recruitment occurs when the position is filled by an existing employee within the business, which is advantageous as it is cheaper, the employee is already familiar with the business culture and provides an incentive for other staff to improve performance
    - internal recruitment also has the disadvantages of creating rivalry within the business and adding little value to the business, as no new skills enter the business
    - external recruitment occurs when the position is filled by an individual outside the business, which is advantageous as it gives the business access to a wider applicant pool, new ideas enter the business and specifically Skills are added to the business
    - external recruitment also has the disadvantage of being a time consuming process

    - general skills refer to the employee's level of initiative, communication and problem-solving abilities; these skills, such as motivation, positive attitude and willingness to learn are transferable across different occupations
    - specific skills are acquired through specialist training, which leads to a qualification

Case Study- McDonald's

- McDonald's will recruit 260 000 individuals as pandemic restrictions ease, which as has benefit of keeping up with demand as stores being to open
- however, hiring a large amount of new employees increases the time needed to train them on new processes

- *training and development- current or future skills*
    - training focuses on building the current skills of employees for superior work performance in their current role
    - development focuses on building the future skills of employees to prepare them for a role they aspire to gain
    - current and future skills are attained through formal and informal training
    - formal training involves employees taking on a student-like role, where they are shown how to apply themselves to the operations of a business, and are then assessed on their level of understanding
    - informal training involves employees being shown the correct skills by pragmatically learning to work on the job
    - induction is a form of training that introduces the employees with the business, so that they become familiarised with the workings of the business

Case Study- McDonald's

- employees are being trained on the new protocols and method of service to keep stores open during the pandemic
- McDonald's provides employees with protective equipment and introduces employees to working behind a protective plastic barrier that reduces exposure to customers
- this is advantageous as it ensures employees can remain safe during the pandemic by adopting hygienic processes
- however, the additional supplies provided by McDonald's add to the costliness of this process

- *performance management- developmental or administrative*
    - refers to the process of recognising the efforts and contributions of employees by evaluating their performance
    - it is conducted by planning, checking in and monitoring
    - the planning stage involves setting goals and developing expectations between the employee and employer
    - checking in occurs when the employee's performance is regularly observed and feedback is provided
    - monitoring involves measuring the employee's actual performance against the objectives established in the planning stage

    - developmental performance management focuses on developing the individual skills of employees
    - this is advantageous as it assists employees with improving their performance and being constantly aware of their own personal goals
    - administrative performance management focuses on meeting the strategic goals of the business
    - this is advantageous as it assesses the effectiveness of the business's training and development programs and fosters productivity to meet the needs of the business

Case Study- Stewart Milne

- during the pandemic, business could no longer conduct usual development programs for employees to enhance their performance
- the UK home building company has overcome this by managing employee performance through the use of online training
- the e-learning platform provides compulsory industry related training, as well as cooking classes
- this is advantageous as Stewart Milne has saved $80 000 and provided 1700 hours of online training, with 90% of employees accessing the programs
- although there has been 100% engagement with the program, whether this engagement will continue in the future is not guaranteed

- *rewards- monetary and non-monetary, individual or group, performance pay*
    - monetary rewards refer to payments beyond the employee's minimum legal entitlements, and include commission, bonuses and wage increases
    - non-monetary rewards refer to intrinsic rewards such as flexible working hours, a company car and recognition programs
    - individual rewards are provided to particular employees, whereas group rewards are provided to several employees
    - group rewards increased the need for cooperation but make it difficult to distinguish the performance of individual employees
    - performance pay refers to a portion of an employee's wage being based in their performance, which requires employees to reach targets and demonstrate improved performance for their pay to increase

Case Study- Google

- Google extends employee's Labour Day long weekend to maintain employee wellbeing during the pandemic
- Google has identified the need to provide employees with an extended long weekend by giving an additional day off, creating a four weekend rather than three
- this additional day has been declared a collective wellbeing day, and is advantageous as employees can recover from the stress of a new work environment and a global pandemic, increasing productivity
- however this is disadvantageous as Google will have to pay all employees for this additional day off, which will add to their expenses

- *global- costs, skills, supply*

- the global labour market allows businesses to acquire global workers to fill in shortages in the availability of domestic workers and reduce costs
- when accessing the global labour market, businesses must take into consideration the cost of hiring in overseas markets, which is generally low
- business must also account for the quality and skill set of workers, which tends to be lower than Australia
- since Australia has a shortage of skilled workers, global labour markets can fill in this shortage; using the supply of global workers opens a large number and range of workers, much greater than those available domestically

- *workplace disputes*

– resolution – negotiation, mediation, grievance procedures, involvement of courts and tribunals

- workplace disputes refer to a disagreement over an issue between the employee and employers
- grievance procedures are the formal procedures written into an award that states the agreed process to resolve disputes in the workplace
- such procedures clearly outline the issues that are regarded as workplace disputes and provides a mechanism that can be used to achieve a quick resolution of disputes
- negotiation refers to collective bargaining, where both parties discuss the issue to compromise and reach an agreement
- mediation refers to a neutral third party that assists both parties in reaching an agreement that isn't legally binding
- conciliation involves a representative appointed by the Fair Work Commission that assists both parties in reaching an agreement that isn't legally binding
- arbitration involves a representative appointed by the Fair Work Commission that hears arguments from both parties and makes a legally binding agreement

<u>Effectiveness of human resource management</u>

- *indicators*

– corporate culture

- refers to the values and beliefs within th business that directly influences the relationship between the employer and employee
- it is determined by the actions of management towards employees
- a democratic leadership style can improve an incompetent business culture

– benchmarking key variables

- involves measuring an employee's performance against established standards
- if employees fail to meet business standards on a regular basis, management must examine why this is occurring
- failure to meet goals can be corrected by training and development programs

– changes in staff turnover

- refers to the rate at which employees leave the business
- a high level of staff turnover indicates poor employment relations and can be solved by providing rewards

- absenteeism
  - refers to the amount of days that employees fail to attend work
  - a large number is absentees indicates employee dissatisfaction with the workplace
  - high absenteeism can be lowered by implementing a democratic leadership style

- accidents
  - frequent occurrences of accidents shows low effectiveness of training and development programs

- levels of disputation
  - low levels of disputation indicates adequate grievance procedures followed when disputes arise

- worker satisfaction
  - refers to the extent to which employees are content with the business
  - worker satisfaction comes from recognition, challenging work and employee participation
  - satisfied employees are more productive and loyal to the business
  - worker satisfaction can be improved by providing rewards to employees